

Management Accounting — Nature, Purpose and Classification of Costs — PREVIEW

Course: CPA — Certified Public Accountant | **Level:** Foundation Level 2

This is a free preview covering the introduction and Section 1 only.

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1. What is cost accounting?

Cost is the value of resources given up or sacrificed to achieve a specific objective — making a unit of product, running a department, or completing a job.

Cost accounting is the branch of accounting concerned with recording, classifying, and reporting cost information so that management can plan, control, and make decisions. Unlike financial accounting, which looks backward and reports to outsiders, cost accounting is built for insiders and looks both backward (what did it cost?) and forward (what should it cost?).

Four activities sit at the core of cost accounting, in any organisation — manufacturing or service, profit or non-profit:

- **Recording** — capturing and classifying cost data as it is incurred.
 - **Ascertaining/estimating** — working out the cost of a specific product, service, job, or department.
 - **Planning** — setting cost and profit targets, usually expressed as budgets.
 - **Controlling** — comparing actual costs against the plan, investigating variances, and correcting what went wrong.
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Unlock the full paper

The complete version covers the meaning and limitations of management accounting, the functions of a cost accountant, the scope of cost accounting, the differences between financial, cost and management accounting, all major cost classifications (by element, function, behaviour and controllability), a fully worked prime-cost/conversion-cost question, and a 10-question original self-assessment kit with model answers.

Purchase the full paper to continue.